Superior Court of the State of California
County of Orange

DEPT C20 TENTATIVE RULINGS

Judge Theodore Howard

The court will hear oral argument on all matters at the time noticed for the hearing. If you would prefer to submit the matter on your papers without oral argument, please advise the clerk by calling (657) 622-5220. If no appearance is made by either party, the tentative ruling will be the final ruling. Rulings are normally posted on the Internet by 4:00 p.m. on the day before the hearing.

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http://www.occourts.org/media/pdf/7-25-2014_Privately_Retained_Court_Reporter_Policy.pdf

The Orange County Superior Court has implemented administrative orders, policies, and procedures noted on the Court's website to address the limitations and restrictions presented during the COVID-19 pandemic at Civil Covid-19. Due to the fluid nature of this crisis, you are encouraged to frequently check the Court's website at https://www.occourts.org for the most up to date information relating to Civil Operations.

Unless otherwise ordered by the Court, all Unlimited and Complex proceedings may be conducted via Zoom or in person. On the date of your hearing click the Department C20 Link to begin the remote online check in/Zoom appearance process:

https://occourtsapp.occourts.org/aci/checkin-results?dept=C20

Date: June 18, 2026

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1.	Capital One Bank (USA), N.A. v. Eckburg 17-922905	Before the Court is the unopposed Motion to Vacate Dismissal and Enter Judgment Under Terms of Stipulated Settlement filed by Plaintiff Capital One Bank (USA), N.A. ("Plaintiff") against Defendant Caren Eckburg ("Defendant"). As more fully set forth below, the motion is **CONTINUED** to a date to be determined at the hearing.

Plaintiff has demonstrated that the parties entered into a valid and binding written Settlement Agreement pursuant to *Code of Civil Procedure section 664.6.* (Declaration of Anthony DiPiero, ¶ 2; RJN, Ex. B.) Under the terms of the Settlement Agreement, Defendant stipulated to entry of judgment in favor of Plaintiff in the principal amount of $30,105.12, plus specified court costs, less credit for payments made prior to default. (Settlement Agreement, ¶¶ 1-2.) The parties further agreed that the Court would retain jurisdiction to enforce the agreement pursuant to *Code of Civil Procedure section 664.6* and that, upon Defendant's default, Plaintiff could seek to vacate any dismissal and obtain entry of judgment pursuant to the agreement. (*Id*., ¶ 5.)

The motion and supporting declaration establish that Defendant defaulted under the payment arrangement set forth in the Settlement Agreement. Plaintiff's counsel declares that Defendant's last payment was received on April 17, 2026, that Defendant was provided ten days' written notice of default and Plaintiff's intent to seek entry of judgment, and that Defendant has paid a total of $20,600.00 toward the settlement obligation. (DiPiero Decl., ¶¶ 4-6.) After crediting those payments, Plaintiff seeks the remaining principal balance of $9,505.12, plus recoverable court costs of $989.50, for a total judgment of $10,494.62. (*Id*., ¶ 7.)

However, the proof of service accompanying the notice of default reflects that the notice was mailed to Defendant at 1226 Lima Circle, Placentia, California 92870-4226. (DiPiero Decl., ¶ 5, Ex. A.) The Settlement Agreement provides that notice shall be mailed to Defendant at 3845 Singingwood Drive, Yorba Linda, California 92886-6909, or to a corrected address provided by Defendant. (Settlement Agreement, ¶ 9.) Plaintiff does not explain the discrepancy between the address specified in the Settlement Agreement and the address used for service of the notice of default, nor does Plaintiff provide evidence that Defendant designated the Placentia address as a corrected address. (See DiPiero Decl., ¶ 5; Ex. A.)

Accordingly, the present record does not sufficiently establish compliance with the notice provision set forth in paragraph 9 of the Settlement Agreement. (Settlement Agreement, ¶ 9; DiPiero Decl., ¶ 5, Ex. A.) The motion is therefore **CONTINUED** to permit Plaintiff to submit supplemental evidence establishing that the Placentia address was Defendant's corrected address or otherwise demonstrating compliance with paragraph 9 of the Settlement Agreement.

Plaintiff is ordered to file and serve a supplemental declaration no later than nine court days before the continued hearing date.

Plaintiff is ordered to give notice of this ruling.

2.	Lo v. Great Park Neighborhoods Community Association 23-1339745	Before the court is a Motion for Attorney's Fees and Costs filed by Cross-Complainant Aria Miran. This motion is **GRANTED**, in part, as set forth herein. In the instant motion, Miran seeks an award of appeal related attorney's fees and costs against Cross-Defendants Yung-Tai Lo and Che-Jen Liang (the "Los"). The motion is brought pursuant to *Code of Civil Procedure §425.16(c)(1)* and follows the Court of Appeal affirming this Court's August 22, 2024 order denying the Los' anti-SLAPP motion. Here, the Court has previously made a finding in its 3/27/25 Minute Order as follows: "the court finds that the anti-SLAPP motion was frivolous and that Miran is entitled to recovery of attorney's fees and costs under *CCP §425.16(c)*." The Court of Appeal affirmed the denial of the anti-SLAPP motion and the Los dismissed their appeal of the 3/27/25 order granting fees. "Appellate challenges concerning the [special] motion to strike are also subject to an award of fees and costs, which are determined by the trial court after the appeal is resolved." (*Christian Research Institute v. Alnor* (2008) 165 Cal.App.4th 1315, 1320) For the same reasons Miran was entitled to fees following denial of the anti-SLAPP motion, he is entitled to recover reasonable attorney's fees under *Section 425.16(c)* for fees incurred in connection with opposing the appeals filed by the Los regarding their anti-SLAPP motion. "The amount of an attorney fee award under the anti-SLAPP statute is computed by the trial court in accordance with the familiar 'lodestar' method. (Citation) Under that method, the court 'tabulates the attorney fee touchstone, or lodestar, by multiplying the number of hours reasonably expended by the reasonable hourly rate prevailing in the community for similar work.' (Citation)" (*Cabral v. Martins* (2009) 177 Cal.App.4th 471, 491) "The courts repeatedly have stated that the trial court is in the best position to value the services rendered by the attorneys in his or her courtroom [citation], and this includes the determination of the hourly rate that will be used in the lodestar calculus." (*569 East County Boulevard LLC v. Backcountry Against the Dump, Inc.* (2016) 6 Cal.App.5th 426, 437; see also *PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1096.) With regard to the billing rates, Miran has submitted copies of actual invoices. The declaration of counsel sets forth the experience of the attorneys and also states that the two paralegals were certified. The court finds that the billing rates are reasonable based on the declaration of counsel, as well as the court's knowledge of the novelty and complexity of the issues presented in this matter. With regard to the time claimed to be related to the appeal, the Court has gone through each of the invoices submitted by Miran which are attached to the Supplemental Declaration at ROA 312, as well as the Los' detailed response to the Supplemental Declaration at ROA 314. Based on the Court's review of these documents as well as the briefs submitted by the parties, the Court finds that while many entries relate

		to the appeal, several are either insufficient to show they relate to the appeal or state that they relate to other matters. For example, there are several entries which relate to the motion for attorney's fees which was heard on 3/27/25, including time spent preparing briefs and appearing at the hearing. Also, several entries are so heavily redacted that even when considering the adjacent entries, the court cannot determine whether they relate to the appeal. Further, while Miran states he is seeking attorney's fees for the instant fees motion based on 12 hours of time, the Court finds a reasonable amount of time is six hours. Based on the foregoing, the motion is *GRANTED*, in part, and the Court finds the reasonable hours, billing rates and total billed to be as follows: Canada: 29.3 hours for total of $11,857.50. (Canada's rate went from $410 to $425 at beginning of 2025; reasonable hours are 1.4 hours at $410 and 27.9 at $425) Pearson: 18.3 hours at $650 per hour for total of $11,895. Henley: .4 hours at $235 per hour for a total of $94. Acuna: .1 hours at $195 per hour for a total of $19.50 Billing for Instant Fee Motion: 6 hours at $425 per hour for total of $2,550 In addition, Miran seeks an award of $422.70 in costs as set forth in his Memorandum of Costs on Appeal filed on 12/1/25 at ROA 251. The request for costs is **GRANTED**. Accordingly, the motion is **GRANTED** and Miran is awarded a total of $26,416 in attorney's fees and $422.70 for a total amount of $26,838.70. *Counsel for Miran to give notice.*
3.	Mann v. Aptive Environmental, Inc. 26-1544135	Before the Court is a motion to compel arbitration filed by defendant Aptive Environmental, Inc. (Defendant) against plaintiff Ryan Mann (Plaintiff). For the reasons set forth below, the motion is **GRANTED**. Defendant argues the Federal Arbitration Act ("FAA") applies. The FAA generally governs arbitration in written contracts involving interstate commerce and authorizes enforcement of arbitration clauses unless grounds exist in law or equity for the revocation of any contract. (*9 U.S.C. § 2*.) FAA embodies a strong federal policy favoring arbitration. To assure uniform results as to arbitrability of disputes subject to the Act, conflicting state law is preempted under the Supremacy Clause. (*Southland v. Corp. v. Keating* (1984) 465 U.S. 1, 12.) The party claiming the contract involves interstate commerce and the FAA preempts state law has the burden of proving that the underlying

transaction involved interstate commerce. (*Woolls v. Sup. Ct*. (*Turner*)(2005) 127 Cal.App.4th 197, 211-214.)

Defendant produced some evidence of interstate commerce. (Declaration of Alex J. Johnson, ¶ 1.) Plaintiff neither disputes nor confirms whether the FAA applies. But whether the FAA applies is not really at issue because Defendant does not contend that any state law is preempted by the FAA. In fact, Defendant also cites to the California Arbitration Act in support of the motion. (Motion, p. 10.)

The enforcement language of the FAA is almost identical to *Code of Civil Procedure section 1281*. Just like a motion to compel arbitration under the California Arbitration Act, *Code of Civ. Proc. § 1280 et. seq*., a motion to compel arbitration under the FAA requires a finding that an agreement exists for arbitration between the parties and the agreement covers the dispute. (*AT&T Technologies, Inc. v. Communications Workers of America* (1986) 475 U.S. 643, 648-49.) State law applicable to contracts generally governs whether a valid agreement to arbitrate exists. (*Perry v. Thomas* (1987) 482 U.S. 483, 492, fn. 9; *Stutler v. T.K. Contractors, Inc.* (6th Cir. 2006) 448 F.3d 343, 347; *Metters v. Ralphs Grocery Store Co.* (2008) 161 Cal.App.4th 696, 701 ("federal policy in favor of arbitration does not come into play . . . until a court has found the parties entered into a valid contract under state law.").)

Thus, whether the FAA applies or not, the question is whether there is a valid, enforceable arbitration agreement and whether grounds exist for its revocation under California law.

Defendant met its initial burden showing the existence of an arbitration agreement between the parties that covers the claims in this action ("Arbitration Agreement"). (Declaration of Alex J. Johnson ("Johnson Decl.") ¶¶ 15-17, Exs. A, B, C.) Plaintiff does not dispute he signed the Arbitration Agreement or that the agreement covers his claims; rather, he contends the agreement is unconscionable.

Civil Code section 1670.5 provides that where the court determines, as a matter of law, that a contract or any provision in the contract is unconscionable at the time it was made, the court may refuse to enforce the contract or clause or may limit the application of the clause to avoid an unconscionable result. The unconscionability doctrine has "both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results." (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal.4th 83, 114 [citations and internal quotation marks omitted].) "Both procedural and substantive unconscionability must be present before a contract term will be deemed unconscionable. Both, however, need not be present at the same degree. A sliding scale is applied so that the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Serafin v. Balco Properties, Ltd., LLC*

(2015) 235 Cal.App.4th 165, 178 [internal quotes and citations omitted].)

Procedural Unconscionability. "Arbitration contracts imposed as a condition of employment are typically adhesive." (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.) "When arbitration is a condition of employment, there is inherently economic pressure on the employee to accept arbitration. This alone is a fairly low level of procedural unconscionability." (*Cisneros Alvarez v. Altamed Health Services Corp*. (2021) 60 Cal.App.5th 572, 591.) The question is "whether the circumstances of the contract's formation created such oppression or surprise that closer scrutiny of its overall fairness is required." (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 126.)

Here, Plaintiff merely states in a conclusory fashion that the "Arbitration Agreement is a contract of adhesion and is therefore, procedurally unconscionable . . .." (Opposition, p. 4: 14.) However, Plaintiff failed to produce any evidence of procedural unconscionability, including circumstances showing oppression or surprise.

Substantive Unconscionability. Given minimal procedural unconscionability – if any, Plaintiff must demonstrate significant substantive unconscionability. Substantive unconscionability focuses on the terms of the agreement and whether those terms are "overly harsh or one-sided." (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 910-911.) In assessing substantive unconscionability, the "paramount consideration" is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp*. (2004) 120 Cal.App.4th 1267, 1287.)

Here, Defendant does not dispute the Arbitration Agreement contains unconscionable terms, including the Utah forum selection clause, Utah choice-of-law provision and the attorneys' fee provision, but contends these terms can and should be severed. Plaintiff contends the arbitration agreement is permeated with unconscionability.

To assess whether unconscionable terms may be severed, a court considers whether the unconscionable provision is "central" or "collateral" to the purpose of the contract. "The overarching inquiry is whether the interests of justice would be furthered by severance." (*Armendariz v. Foundation Health Psychcare Services, Inc., supra*, 24 Cal.4th at 123-124.) Arbitration agreements "permeated" by unconscionability are unenforceable. (Id. at 122.) Severance is not appropriate where the agreement is completely one-sided, compelling the employee, but not the employer, to arbitrate all claims. (*O'Hare v. Municipal Resource Consultants* (2003) 107 Cal.App.4th 267, 279.) In general, "courts may liberally sever any unconscionable portion of a contract and enforce the rest when: the illegality is collateral to the contract's main purpose; it is possible to cure the illegality by means of severance; and enforcing the balance of the contract would be in the interests of justice." (*Ramirez v. Charter Communications, Inc*. (2024) 16 Cal.5th 478, 516-517.)

		Here, while the Arbitration Agreement does not provide a specific Utah forum selection clause or Utah choice-of-law provision and instead references Utah and Utah law throughout the agreement, it cannot be said the Arbitration Agreement is "permeated" by unconscionability. It is clear the references to the Utah forum and Utah law, and the prevailing attorney fee provision are collateral to the central purpose of the arbitration agreement, *i.e.,* the bilateral arbitration of employment disputes. Under its express terms, both Plaintiff and Defendant are equally bound by the arbitration agreement. (Johnson Decl., Ex. A at p. 21 ¶ 10.1 and 10.2.) The Court does not find a systematic effort to impose overly harsh terms on the employee or Plaintiff. Absent the disputed provisions, it cannot be said the Agreement would be one-sided, limited or otherwise unfair. In addition, the terms can be stricken without any need to rewrite or augment the Agreement. The interests of justice would be furthered by severance because it would enforce the mutuality of the obligation to arbitrate. The Court therefore strikes all references to a Utah forum and Utah law, as well as paragraphs 11.1 and 11.5 of the arbitration agreement as set forth in Exhibit D of the Johnson Declaration, and **GRANTS** the motion to compel arbitration. *Counsel for Defendant shall provide notice of this ruling.*
4.	Uptown Newport Jamboree, LLC v. Newport Fab, LLC 18-973247	Before the court is a motion by Uptown Newport Jamboree, LLC ("Uptown") for an order allowing it to file the following documents under seal: Motion for Summary Judgment (ROA 1076), Declaration of William A. Shopoff (ROA 1077) and Separate Statement of Undisputed Material Facts (ROA 1072). The motion is **DENIED**, as set forth herein. A party requesting a court record be filed under seal "must file a motion or an application for an order sealing the record." *Cal. R. Ct. 2.551(b)(1)*. "The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing." *Id.* The California Supreme Court has held that the First Amendment provides "a right of access to ordinary civil trial and proceedings." (*NBC Subsidiary (KNBC-TV), Inc. v. Superior Court* (1999) 20 Cal.4th 1178, 1212.) The court further noted its belief that "the public has an interest, in all civil cases, in observing and assessing the performance of its public judicial system." (*Id*. at 1210.) There is a presumption of openness in civil court proceedings. (*Id*. at 1217.) Therefore, it is up to this Court to determine if that presumption has been overcome. Courts must find compelling reasons, prejudice absent sealing and the lack of less-restrictive means, before ordering filed documents sealed. (*Hurvitz v. Hoefflin* (2000) 84 Cal.App.4th 1232, 1246; *KNBC-TV*, 20 Cal.4th at 1208-1209 n. 25; *Champion v. Superior Court* (1988) 201 Cal.App.3d 777, 787.) To grant a motion to seal, the court must expressly find that: (1) an overriding interest exists that overcomes the right of public access to the record; (2) the overriding interest supports sealing the records; (3)

		a substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) the proposed sealing is narrowly tailored; and (5) no less restrictive means exist to achieve the overriding interest. (*CRC 2.550(d); McGuan v. Endovascular Technologies, Inc.* (2010) 182 Cal. App. 4th 974, 988.) Uptown argues the confidentiality provision in the lease, as well as an undefined financial right of privacy, supports an order sealing the three leases attached to the Shopoff declaration and references thereto in the motion for summary judgment and separate statement. However, a proposed sealing must also be narrowly tailored to serve the overriding interest, such as by sealing only portions of pleadings or redacting particular text that refer to the confidential information. (*In re Marriage of Burkle* (2006) 135 Cal.App.4th 1045, 1052, 1070.) Based on the information provided, the court is unable to make the required express finding that the proposed sealing is narrowly tailored. For example, in the first paragraph of Exhibit 1 to Shopoff's declaration, the document states the date of the lease and the names of the parties to the lease. There is no explanation in the declaration submitted as to why the names of the parties to the lease should be under seal. Similarly, there is no explanation as to why the address of the property which is the subject of the lease should be sealed. Accordingly, the motion is **DENIED**. *Uptown is ordered to give notice of this ruling.*
5.	Thompson v. FCA US, LLC 24-1446312	Defendant FCA US, LLC's ("Defendant") unopposed motion for judgment on the pleadings as to plaintiff Taia Thompson's ("Plaintiff") Complaint is **GRANTED**. Defendant moves for judgment on the pleadings as to the fifth cause of action for Fraudulent Inducement – Concealment on the basis it is barred by the statute of limitations, and it fails to state sufficient facts to constitute a cause of action against Defendant. (*Civ. Proc. Code § 438(c)(B)(ii)*.) **A) Fraud is Barred By Statute of Limitations** The statute of limitations on a fraud cause of action is three years. (*Civ. Proc. Code § 338(d)*.) "When a plaintiff relies on a theory of fraudulent concealment, delayed accrual, equitable tolling, or estoppel to save a cause of action that otherwise appears on its face to be time-barred, he or she must specifically plead facts which, if proved, would support the theory." (*Mills v. Forestex Co.* (2003) 108 Cal.App.4th 625, 641.) "A plaintiff who fails to sufficiently plead such facts normally should be permitted to amend his or her complaint to do so." (Ibid.) On 05/29/20, Plaintiff entered into a warranty contract with FCA regarding the Vehicle. (Complaint ¶ 7.) This allegation implies Plaintiff

took possession, on that date. Plaintiff alleges Defendant was aware of the subject engine defects prior to the sale of the Vehicle, but Defendant concealed and failed to disclose the defect to Plaintiff at the time of purchase. (Complaint ¶¶ 20, 25, 63.) Plaintiff alleges the wrongful conduct was discovered "shortly before the filing of the complaint" without specifying a date or the manner of discovery. (Complaint ¶ 8.)

The implication from the above allegations is that the defects existed at the time of delivery. Because Plaintiff is presumed to have knowledge of the wrongful cause of their injury (*Grisham v. Philip Morris U.S.A., Inc.* (2007) 40 Cal. 4th 623, 638), the applicable statute of limitations began to accrue when Plaintiff received the vehicle with a defect that could not be conformed to warranty. As the instant action was not filed until 12/10/24, which was four years, six months, and 11 days after the purchase of the Vehicle, the claim appears barred on its face.

Plaintiff alleged no facts to support any type of tolling of the statute of limitations.

As the cause of action for fraudulent inducement is time barred on the face of the complaint, the Motion is **GRANTED**.

B) Plaintiff Fail to Plead Sufficient Facts

"The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact." (*Rattagan v. Uber Techs., Inc.* (2024) 17 Cal. 5th 1, 40 ("*Rattagan*").)

"A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (*i.e*., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment)." (*Id*., at 40.) "Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as "between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances."

[Citation.] “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” ‘ “ (*Id.*, 40-41.)

California also requires that fraud must be alleged with specificity. (*Rattagan, supra*, 17 Cal.5th at 43.) The requirement provides an important safeguard against the risk of tort recovery for fraud in every case involving conduct occurring during a contractual relationship. (*Id.*) “When affirmative misrepresentation fraud is alleged, “This particularity requirement necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’ ” (*Id.*)

California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim. (*Rattagan, supra*, 17 Cal.5th at 43.) “The court must determine whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties' contract. If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts, as *Rattagan* has alleged here, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. “[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[ ] ... are insufficient for the foregoing purposes.” ‘ “ (*Id.*, at 43-44.)

Plaintiff alleged the Vehicle experienced engine defects, transmission defects, electrical defects, and others. (Complaint ¶ 12.) The Defect is a safety concern because it affects the driver’s ability to control the Vehicle’s speed, acceleration, and deceleration. (Complaint ¶ 17.) Plaintiff alleged Defendant was aware of issues through sources not available to Plaintiff, including pre- and post-production testing, consumer complaints, aggregate warranty data, testing, and warranty repair and part replacements. (Complaint ¶¶ 19, 61.) FCA had exclusive knowledge of the Defects. (Complaint ¶¶ 22-23.) Plaintiff interreacted with sales representatives and considered FCA’s advertising and marketing materials prior to purchase. (Complaint ¶ 21.) Plaintiff states she would not have purchased the Vehicle or would have paid less for it had Plaintiff known of the Defects. (Complaint ¶¶ 24.)

Plaintiff did not state where the Vehicle was purchased from, whom Plaintiff spoke with, or the individual(s) authority to speak on behalf of Defendant prior to the purchase of the Vehicle. As such, Plaintiff has not alleged a buyer-seller relationship which might otherwise require a duty to disclose. Plaintiff also only vaguely stated Plaintiff relied upon

		advertisements and other marketing materials regarding the Vehicle which did not disclose the defects. Plaintiff has not alleged any fraudulent statements made or actions specifically on the part of Defendant or individuals working on behalf of Defendant to otherwise induce Plaintiff into purchasing the Vehicle. Plaintiff has not pled sufficient facts to support this cause of action. The Motion is **GRANTED**. Plaintiff is given leave to file an amended complaint within 15 days of written notice of the ruling. *Defendant to give notice.*
6.	Renevier v. Hyundai Motor America 25-1468057	Defendant Hyundai Motor America’s (“Defendant”) demurrer to plaintiff Angelina Renevier’s (“Plaintiff”) Complaint is **SUSTAINED**. Defendant demurs to the fifth cause of action for Fraudulent Inducement – Concealment on the basis it fails to state sufficient facts to constitute a cause of action against Defendant. (*Civ. Proc. Code § 430.10(e)*).) “The required elements for fraudulent concealment are (1) concealment or suppression of a material fact; (2) by a defendant with a duty to disclose the fact; (3) the defendant intended to defraud the plaintiff by intentionally concealing or suppressing the fact; (4) the plaintiff was unaware of the fact and would have acted differently if the concealed or suppressed fact was known; and (5) plaintiff sustained damage as a result of the concealment or suppression of the material fact.” (*Rattagan v. Uber Techs., Inc.* (2024) 17 Cal. 5th 1, 40 (“*Rattagan*”).) “A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff's fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (*i.e.,* exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment).” (Id., at 40.) “Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as “between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement. [Citation.] All of these relationships are created by transactions between parties from which a duty to disclose facts material to the transaction arises under certain circumstances.” [Citation.] “Such a transaction must necessarily arise from direct dealings between the plaintiff and the defendant; it cannot arise between the defendant and the public at large.” ‘ “ (*Id.*, 40-41.)

California also requires that fraud must be alleged with specificity. (*Rattagan, supra,* 17 Cal.5th at 43.) The requirement provides an important safeguard against the risk of tort recovery for fraud in every case involving conduct occurring during a contractual relationship. (*Id*.) "When affirmative misrepresentation fraud is alleged, "This particularity requirement necessitates pleading facts which 'show how, when, where, to whom, and by what means the representations were tendered.' " (*Id*.)

California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim. (*Rattagan, supra*, 17 Cal.5th at 43.) "The court must determine whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties' contract. If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts, as *Rattagan* has alleged here, the complaint must also include specific allegations establishing all the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission. "[M]ere conclusionary allegations that the omissions were intentional and for the purpose of defrauding and deceiving plaintiff[ ] ... are insufficient for the foregoing purposes." ' " (*Id*., at 43-44.)

Plaintiff alleged the Vehicle experienced engine defects, transmission defects, electrical defects, and others. (Complaint ¶ 15.) The defects substantially impaired the use, value, or safety of the Vehicle. (Complaint ¶ 16.) Plaintiff alleged Defendant was aware of issues with the subject engine through internal data, testing data, consumer complaints, repair orders, testing, and other Defendant exclusive sources, and its related components and concealed them from Plaintiff. (Complaint ¶¶ 49, 53.) The defects can suddenly and unexpectedly cause the driver to be unable to control the speed and acceleration/deceleration of the vehicle. (Complaint ¶ 48.) Prior to purchasing the Vehicle, Plaintiff interacted with sales representatives and considered Defendant's advertisements and other marketing materials regarding the Vehicle. (Complaint ¶ 50.) Had Plaintiff been aware of the defects he would not have purchased the Vehicle. (Complaint ¶¶ 50, 55.)

Plaintiff did not state where she purchased the Vehicle from, whom she spoke with, or their authority to speak on behalf of Defendant prior to the purchase of the Vehicle. As such, Plaintiff has not adequately alleged a buyer-seller relationship which might otherwise require a duty to disclose. Plaintiff also only vaguely stated she relied upon advertisements and other marketing materials regarding the Vehicle which did not disclose the defects. Plaintiff has not alleged any fraudulent statements made or actions specifically on the part of

		Defendant or individuals working on behalf of Defendant to otherwise induce Plaintiff into purchasing the Vehicle. Plaintiff has not pled sufficient facts to support this cause of action. The demurrer is **SUSTAINED** with leave to file an amended complaint within 15 days of written notice of the ruling. *Defendant to give notice.*
7.	Jaffe v. Venous Technologies Inc. 24-1415883	Before the Court is a demurrer filed by defendants Venous Technologies, Inc. and Natalie Youshaei (Defendants) to the First Amended Complaint (FAC) of plaintiff Allen V. Jaffe (Plaintiff). For the reasons set forth below, the demurrer is **OVERRULED** on the 1st and 2nd causes of action and **SUSTAINED** without leave to amend on the 3rd cause of action. A general demurrer lies where the pleading does not state facts sufficient to constitute a cause of action. (*Code of Civ. Proc. § 430.10, subd. (e)*.) A special demurrer lies where a pleading is uncertain, ambiguous and unintelligible. (*Code of Civ. Proc. § 430.10, subd. (f)*.) <u>Fraud claims</u> (1st and 2nd causes of action): The Court finds the FAC alleges sufficient facts to support each element of the fraud and/or promissory fraud claims with the requisite specificity. (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638 [elements of fraud]; *Rossberg v. Bank of America, N.A.* (2013) 219 Cal.App.4th 1481, 1498 [elements of promissory fraud]; FAC ¶¶ 5, 8-23; see also ¶¶ 24-40.) The parol evidence rule does not bar evidence of fraudulent promises, even where those promises are at variance with the terms of the written agreement. (*Riverisland Cold Storage, Inc. v. Fresno-Madera Production Credit Ass'n.* (2013) 55 Cal.4th 1169, 1182-1183; see also *Code of Civ. Proc. § 1856, subd. (g)*.) The economic loss rule does not bar fraud and intentional misrepresentation claims where, as here, they are independent of breach of contract. (*Robinson Helicopter Co. Inc. v. Dana Corp.* (2004) 34 Cal.4th 979, 991.) The demurrer is therefore **OVERRULED** as to the fraud claims. <u>Breach of contract</u> (3rd cause of action): Plaintiff does not oppose the demurrer as to this claim. The demurrer is thus **SUSTAINED** without leave to amend as to this claim. *Counsel for Defendants shall give notice of this ruling.*
8.	Fernadez v. Pacific Life Insurance Company 25-1520544	*(Moot)*
9.	SCSA Group, Inc. v. Department of Cannabis Control, a California State Agency 24-1433413	Before the court are two demurrers and one motion to strike filed by two defendants. In the first demurrer, the Department of Cannabis Control ("DCC") challenges the Second Amended Complaint ("FAC") filed by SCSA Group, Inc., 1 Vertical, Inc. Dba 420 Central, Vertical Four, Inc. dba 420 Central - Newport Mesa and Ngu Holdings, Inc. (collectively,

"Plaintiffs"). This demurrer is **SUSTAINED** with 14 days leave to amend, as set forth herein.

In the second demurrer, the California Department of Tax and Fee Administration ("TFA") demurs to the SAC. This demurrer is **SUSTAINED** with 14 days leave to amend, as set forth herein.

In light of the ruling on the demurrer, the motion to strike by TFA is MOOT.

DEMURRER BY DCC

DCC demurs to the 2nd cause of action ("Failure to Perform Enforcement Duties Under MAUCRSA" and 3rd cause of action (Arbitrary Conduct And Selective Enforcement) on the grounds the Plaintiffs have failed to plead compliance with the Government Claims Act.

Prior to filing a suit against a public entity, a plaintiff must comply with the Government Tort Claims Act, which states, in part: "no suit for money or damages may be brought against a public entity on a cause of action for which a claim is required to be presented . . . until a written claim therefor has been presented to the public entity and has been acted upon by the board, or has been deemed to have been rejected by the board." (*Gov. Code § 945.4*) The claim presentation requirement is "is not merely procedural but is a condition precedent to maintaining a cause of action and, thus, is an element of the plaintiff's cause of action." (*Perez v. Golden Empire Transit Dist.* (2012) 209 Cal.App.4th 1228, 1236)

In their opposition, the plaintiffs point to paragraph 74 of the SAC which alleges generally that "Plaintiffs submitted a Government Claims Act claim" and that it referenced improper taxes as well as the track and trace system. One part of paragraph 74 relates to the causes of action against TFA and the other part relates to causes of action against DCC. However, Plaintiffs have insufficiently pled that either separate claims were made as to the conduct of each agencies or that a single claim was made. Further, while plaintiffs allege the claim made to TFA was denied (SAC ¶79), there is no allegation the claim to DCC was denied.

Accordingly, the demurrer by DCC to the SAC is **SUSTAINED**, with 14 days leave to amend.

In addition to the foregoing, the Court notes DCC's argument that the plaintiffs' claims against it are improperly joined with the claims against TFA.

Code of Civil Procedure section 378 states, in part, "All persons may join in one action as Plaintiffs if: (1) They assert any right to relief jointly, severally, or in the alternative, in respect of or arising out of the same transaction, occurrence, or series of transactions or occurrences and if any question of law or fact common to all these persons will arise in the action."

The claims against DCC are unique in that they relate to *B&P Code §26067* pertaining to track and trace. On the other hand, the claims against TFA and OAL pertain to improper collection of an excise tax under *Rev. & Tax Code §34011, et. seq*. While the claims against DCC appear markedly different from the claims against TFA, the defendant has not established prejudice as a result of the joinder.

The Legislature intended "that joinder be liberally construed so as to prevent the diseconomy of a 'multiplicity' of cases." (*Petersen v. Bank of America Corp*. (2014) 232 Cal.App.4th 238, 249.) "Although the code seems to authorize the sustaining of a demurrer solely on such a technical objection [of misjoinder], the authorities indicate that the defendant is entitled to a favorable ruling only when he can show some prejudice suffered or some interests affected by the misjoinder. (*Royal Surplus Lines Ins. Co. v. Ranger Ins. Co.* (2002) 100 Cal.App.4th 193, 198.)

DEMURRER BY TFA

Request for Judicial Notice

TFA requests the court take judicial notice of four Statements of Account it issued to the Plaintiffs. Copies of the documents are attached as Exhibits 1-4 to the request for judicial notice. The request for judicial notice is **GRANTED** as to the existence of the documents but not as to the truth or accuracy of the contents of the documents. (*Evidence Code §452(c)*.)

1st Cause of Action – Improper Taxation AND 4th Cause of Action – Declaratory Relief

TFA demurs to both the 1st and 4th causes of action on the grounds the plaintiffs have failed to plead they paid the taxes.

"Longstanding California law forbids courts from enjoining the collection of taxes, directing taxpayers instead to pay taxes and then seek relief in the manner provided by statute." (*Morgan v. Ygrene Energy Fund, Inc.*(2025) 18 Cal. 5th 1061, 1074) The California Constitution, Article XIII, section 32 ("Section 32") provides that: "No legal or equitable process shall issue in any proceeding in any court against this State or any officer thereof to prevent or enjoin the collection of any tax. After payment of a tax claimed to be illegal, an action may be maintained to recover the tax paid, with interest, in such manner as may be provided by the Legislature."

"This rule applies whether a taxpayer challenges a tax directly, by expressly seeking to prevent or enjoin its collection, or indirectly, by pursuing other relief that would have the same effect. As our case law explains, any other approach would shortchange the weighty interests underlying the prohibition on tax injunctions. (See *State Bd. of*

Equalization v. Superior Court (1985) 39 Cal.3d 633, 640 [‘It is also the rule that a taxpayer may not circumvent restraints on prepayment tax litigation by seeking only declaratory relief’]” (*Morgan v. Ygrene Energy Fund, Inc.*(2025) 18 Cal. 5th 1061, 1075; see also, *California Dep't of Tax & Fee Admin. v. Superior Ct.* (*Kintner*) (2020) 48 Cal. App. 5th 922, 926)

Here, both the 1st and 4th causes of action challenge the legality of the cannabis excise tax. For example, the SAC alleges the cannabis excise tax was improperly enacted because TFA failed to follow proper procedures in enacting the tax and seeks an injunction to stop same. (SAC ¶85 – 1st cause of action for Improper Taxation) The SAC further alleges the amendments to Regulation 3700 and 3802 regarding taxation of cannabis accessories are “invalid and of no legal force or effect.” (SAC ¶102 – 4th cause of action for Declaratory Relief)

Plaintiffs do not dispute that they have not alleged they paid the taxes or that they were unsuccessful in obtaining a refund. Instead, they attempt to re-cast the allegations in the SAC as not being a challenge to the validity of the tax. The Court disagrees and finds these two causes of action are a challenge to a tax.

Accordingly the demurrer by TFA is **SUSTAINED** as to the 1st and 4th causes of action, with 14 days leave to amend.

MOTION TO STRIKE BY TFA

In light of the ruling on the Demurrer, the motion to strike by TFA is **MOOT**.

Counsel for TFA is ordered to give notice of this ruling.

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